

Meridian Mechanical Services, LLC

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MEMORANDUM

TO: Richard Castellano, CEO; Marcus Delgado, COO
FROM: Priya Raman, Controller
DATE: January 9, 2026
RE: Year-end physical inventory count - December 31, 2025

Warehouse and truck stock were counted on December 30-31, 2025 by two-person teams, with test counts by accounting. Results were reconciled to the perpetual inventory in FieldPro.

Component	Dec 31, 2025	Dec 31, 2024
Obsolete parts and discontinued equipment	38,400.00	35,100.00
Shrink (unlocated parts, truck stock variances)	25,600.00	23,400.00
Year-end count adjustment	64,000.00	58,500.00

Consistent with prior years, the year-end count adjustment reflects shrink and obsolete parts. We recorded the current-year adjustment of \$64,000 to 5400 Inventory Adjustments & Write-offs on December 31, 2025. The prior-year adjustment at December 31, 2024 was \$58,500.

Recommendations: move to quarterly truck-stock counts and establish a reserve for slow-moving parts.